

CHAPTER 2: MACRO ANALYSIS

This is the first and most important floor. You must understand the "sky" before choosing stocks. Bad macro = defensive, do not buy strongly. Good macro = attack, increase weight.

2.1 Economy Review

A. The most important economic indicators to watch

Indices	Significance for investors
GDP Growth	Is the economy expanding or shrinking? GDP > 2% = good.
CPI/Inflation	High inflation → the Fed raises interest rates → growth stocks are under pressure.
Fed Funds Interest Rates	The platform values the entire asset. Interest increases → P/E contracts.
Non-Farm Payroll	Increased employment = strong consumption = good corporate earnings.
ISM Manufacturing	Above 50 = the manufacturing industry is expanding.
Consumer Confidence	Consumer sentiment, retail spending forecast.
Yield Curve	Inverse yield curve (10Y < 2Y) = recession warning.

B. Pain Point — Identification of Current Special Risks

Pain Points are unusual factors that are putting pressure on the market. Practical examples:

- Geopolitical tensions (wars, trade conflicts)
- Regional Banking Crisis (SVB 2023)
- Sudden exchange rate fluctuations (Dollar Index rises sharply)
- Earnings season events — Q1/Q2/Q3/Q4 financial reporting season

Tracking tools: Economic Calendar on Investing.com, Fed Watch Tool (CME Group).

C. Index Support & Resistance

Before buying any stocks, determine where the main index is in the technical structure:

- **Broad market gauge, the 500 largest stocks.**
- **Focus on technology, high growth.**
- **30 blue-chip stocks, reflecting the traditional economy.**
- **Small and medium-sized stocks — the risk index of the market.**

S&R method: Weekly chart, historical congestion area, Fibonacci retracement, 50/200 MA.